

the mortgage continue so long, will derive the same advantage.

47. **Attention to value and title in lending on mortgage.**—When trustees propose to lend upon mortgage, their attention should be directed to two leading topics—the sufficiency of the value and the title of the borrower (*b*). If trustees accept a security without making proper inquiries as to its nature and adequacy, though it may have been previously valued by a surveyor (*c*); or if the trustees rely upon a valuation made by a surveyor employed by the mortgagor, without having a survey made by a valuer employed by themselves, they will be personally liable for any deficiency of the security (*d*); [and it has been held that the choice of the surveyor is a matter upon which the trustees are bound to exercise their own judgment, and that they cannot properly leave the nomination to their solicitor (*e*).] And it was held by Lord Romilly, M. R. that, as trustees are bound to employ competent persons as their solicitors, if, through the ignorance or negligence of their solicitor, the trustees lend money upon a bad title, they are personally responsible to the *cestuis que trust*. But the decision was appealed against, and the case was compromised [*325] with * the sanction of the Lords Justices on behalf of infants (*a*). [And where a trustee acting under the advice of his solicitor and upon a favourable report of a firm of surveyors advanced trust-money upon a security which ultimately proved insufficient he was held not liable, although the report was *ex facie* prepared upon faulty principles (*b*).]

(*b*) See *Waring v. Waring*, 3 Ir. Ch. Rep. 336.

(*c*) *Bell v. Turner*, W. N. 1874, p. 113.

(*d*) *Ingle v. Partridge* (No. 2), 34 Beav. 411; and see *Hopgood v. Parkin*, 11 L. R. Eq. 74; *Budge v. Gum-mow*, 7 L. R. Ch. App. 719; *Bell v. Turner*, W. N. 1874, p. 113; *Smethurst v. Hastings*, 52 L. T. N. S. 567; 33 W. R. 496; 30 Ch. D. 490.

(*e*) *Fry v. Tapson*, 51 L. T. N. S. 326; 33 W. R. 113; 28 Ch. D. 268.]

(*a*) *Hopgood v. Parkin*, 11 L. R. Eq. 74. The M. R. added, that if the mortgagor had wilfully and knowingly deceived the solicitor by assertion of what was false, or by the suppression of what was true, it might have altered the case and the liability of the trustees, *Ib.* 79 [and see *Re Speight*, 22 Ch. D. 727; 9 App. Cas. 1.]

[(*b*) *Re Pearson*, 51 L. T. N. S. 692.]